

DISSENTING OPINION OF SIR CECIL HURST.

Being unable to concur in the answer which the judgment gives to the first question put to the Court in this case, I feel it necessary to avail myself of my right under the Statute of the Court and to indicate my standpoint in regard to the dispute.

It is a case where the decision must so largely depend on a correct appreciation of the facts and circumstances that I shall frequently find it necessary to state my view of the facts.

The dispute submitted to the Court has arisen with regard to the consequences which certain measures taken by the Belgian Government in connection with Unatra had upon the enterprises carried on by a British subject, Oscar Chinn, in the Belgian Congo.

Unatra is a Congolese Company: therefore the treatment which it receives at the hands of the Belgian Government is no concern of the Government of the United Kingdom, but the allegation is that Chinn's losses were due to the measures taken with regard to Unatra.

As it is not legally possible in this case that the Belgian Government should be liable to make reparation to the Government of the United Kingdom on behalf of Chinn if the measures taken involved no violation of the international obligations of Belgium, the basis of the British case must be that the measures taken by the Belgian Government were in themselves unlawful, either by reason of the intention with which they were taken, or by reason of the consequences which they were bound to entail and which should have been foreseen by the Belgian Government. In this latter, the element of intention would be immaterial.

It is not easy to tell from the Memorial and the Reply and from the oral arguments of Counsel for the United Kingdom which of the above alternatives is adopted as the foundation of the British case. It is therefore necessary to examine them both.

The first alternative involves a demonstration either by direct proof or by necessary deduction from proved or admitted facts that the Belgian Government intended to achieve a situation inconsistent with its international obligations, i.e. that in this particular case it intended to drive out Chinn from the transport business on the Congo either by concentrating the whole of the transport business in Unatra's hands or by rendering it

impossible for him to carry on. Nothing in the case suggests that the contention put forward on behalf of the United Kingdom is that the Belgian intention was to drive out Chinn alone. No evidence of any such intention is produced, and the story of the facts as detailed in the Memorial shows that up to the moment when the Government of the United Kingdom took up Chinn's case, Chinn was associating himself with other private transporters (mostly of Belgian nationality) who were equally aggrieved by the Belgian measures.

The relative smallness of Chinn's business as compared with the aggregate volume of river transport on the Congo makes it inherently improbable that the Belgian Government would conceive measures directed against him alone.

It may therefore be assumed that, when it is alleged that the Belgian measures rendered it impossible or commercially impossible for Chinn to carry on business, reference is made to Chinn merely because he was the only British subject involved, not because he was singled out for special treatment, and that the contention is that the position was made impossible not only for Chinn but for all private transporters.

As between the two alternatives indicated above—illegality of the Belgian measures because of their intention and illegality because of their necessary consequence—it seems on the whole more probable that the case of the United Kingdom is that they were illegal by reason of their consequences.

No attempt is made in the documents of the written proceedings to adduce the evidence required to establish the illegality of the Belgian measures on account of the intention with which they were taken, i.e. to show that it was the *intention* of the Belgian Government in adopting the measures of 1931 to concentrate the river transport in the hands of Unatra. Intention is a question of fact—as to which proof is necessary—and the burden of proof lies on the party making the allegation. It is true that direct proof of intention is not usually forthcoming: the proof must in most cases consist of deductions from admitted or established facts, but where that is the case the intention must be clearly deducible from the facts. Here such facts as are admitted or established are insufficient to render any such intention clearly deducible. In his reply the Agent for the United Kingdom, it is true, suggested that there

was this second motive for the particular action taken by the Belgian Government, viz. that it would benefit Unatra and put an end to competition, but the statement is one which must be read in the light of the rest of his speech.

If the intention to establish a monopoly for Unatra was the essence of the case put forward by the United Kingdom against the Belgian Government, it is incredible that the Memorial should not treat a document such as that referred to in the third footnote on page 10 of the Memorial as a "document in support" which should under Rule 40 be annexed to the Memorial (i.e. in full).

The fair conclusion would seem to be that the case put forward on behalf of the United Kingdom is not that the Belgian measures were inconsistent with the international obligations of that Government because they were *intended* to confer upon Unatra a monopoly, but because their necessary consequence and one which must have been foreseen was to create such a monopoly.

If this conclusion is erroneous, and the case on behalf of the United Kingdom is based upon the contention that the Belgian measures were inconsistent with the international obligations of that Government because they were *intended* to concentrate the whole of the river transport in Unatra's hands, the case with regard to the alleged *de facto* monopoly fails for want of proof of the intention on which it is founded.

For these reasons I conclude that the contention of the United Kingdom is that the Belgian measures were inconsistent with the international obligations of that Government, because of the consequences which they involved and which the Belgian Government should have foreseen that they involved.

The measures themselves have already been explained in the judgment of the Court. To appreciate the effect of them, however, it is desirable to add a few words as to the industry of the colony.

The Belgian Congo is an area producing in great quantities commodities which find their market in Europe. The exporter depends for the prosperity of his business upon the price which the goods realize on the European market. Out of this price has to be paid the cost of transport to Europe; the higher the cost of transport, the smaller the net price realized by the exporter. It stands to reason in these circumstances that the exporter in the Congo will patronize the business which will transport his goods at the lowest rate.

If of two competing businesses one can say that he is now able to transport goods at one franc per ton and the other that he cannot do so, and must continue to charge the previous

rates, it is obvious that the former will get the business. The general conditions to which both are subject will be identical; they will be subject to the same laws, the same regulations, the same conditions or liability as regards insurance and carriage, the same rights to the use of ports, wharves, pilots and stevedores, the same dues, etc.: all will be identical, but the one will get the cargoes to carry and the other will not.

All this is so obvious that the Court is entitled to assume that the Belgian Government must have realized what the consequences would be of the sweeping reductions in Unatra's transport rates which they effected by the decision of June 20th, 1931.

It is true that most upstream and some downstream traffic was not affected by the reductions, but if this traffic had been sufficient wherewith to carry on a business, Unatra would not have incurred the losses it did in 1931 and 1932.

It follows therefore that the Belgian Government must have realized that the effect of the June measure would be that Unatra, carrying at one franc a ton, would get all the business and a private transporter, such as Chinn, carrying at the old rates, would get none. Even if the Belgian Government did not realize this at first, it was within a few days made clear to them by the Socca Company at Antwerp and by the Chamber of Commerce at Leopoldville.

Before turning to the questions whether the Belgian measures were or were not inconsistent with the international obligations of that Government, it is necessary to examine these measures a little more clearly.

The decision of June 20th, 1931, embodied two elements: the direction that the tariffs were to be reduced, as therein stated, and the arrangement for the repayment of the losses which each of the six companies concerned suffered as a result of the reductions.

The so-called *de facto* monopoly of transport on the river which Unatra are said to have secured as the consequence of this measure would result from the first element—the reduction of the tariffs. Exporters would entrust their goods to Unatra for carriage, because they would by this means get them carried most cheaply.

If Chinn had been able to reduce his charges to the same extent, he could have protected himself by carrying goods at the same rate as Unatra and keeping his clientèle, but that he could not do. To carry goods at one franc per ton would

have been ruin to him, just as it would have been to Unatra if the Belgian Government had not reimbursed their losses.

The decision of June 20th, 1931, being addressed to the six companies concerned, was silent on the subject of extending the same favourable treatment to private transporters if they made corresponding reductions in their charges. Judging by the terms of the letter of the Leopoldville Chamber of Commerce of June 27th, 1931, commercial circles in the Congo must have had a shrewd suspicion that the Government did not intend to accord the same treatment to the private transporters, but the position was not certain. This is shown by the letter referred to above which Socca (one of the Belgian exporting firms which had organized its own transport fleet) wrote to the Belgian Minister on June 26th, 1931, asking how they could qualify for repayment of the losses they would suffer, as they could not believe that the Belgian Government intended to create a preferential régime for Unatra.

It was not until July 28th, 1931, that the Belgian Government by letters addressed to Socca (Series C., No. 75) and to the Chamber of Commerce at Leopoldville (Memorial, par. 24; *ibid.*) refused to accord similar treatment to private transporters.

It follows that the concentration in the hands of Unatra of the whole of the river transport trade resulted (if at all) from the reduction of tariffs by the decision of June 20th, 1931. The injury to Chinn resulted (if at all) from the failure to make any provision for repaying their losses to private transporters who made similar reductions, and this omission only became definitive as from July 28th, 1931.

There are certain subsidiary questions of fact which it is desirable to dispose of in order to keep the legal issues clear.

The first is that the arrangement introduced by the decision of June 20th, 1931, was temporary in character: it was open to review at the end of three months. This circumstance cannot affect the question whether the measures were inconsistent with Belgium's international obligations. The duration of the arrangement would certainly affect the amount of the reparation, if the measure were illegal, but if a State is subject to engagement to do or not to do a certain thing, there cannot be read into it a provision that for short periods there shall be liberty to violate the engagement.

The second is that the decision of June 20th provided that the sums paid by the State to reimburse the losses suffered by the six Belgian companies concerned should be repayable to the State when the economic situation allowed. Clearly this is not a circumstance which could affect Chinn or the Government of the United Kingdom.

The third is that several of the Belgian companies at work in the colony had previous to 1931 organized their own fleets so as to be able to do their own transport work. It seems that when they could, their fleets transported goods for other people as well. The Belgian measures of 1931 affected these companies in a way which differed slightly from the way in which they affected Chinn or any other person who was not an exporter and who devoted himself entirely to transport work.

A company which had sunk capital in organizing its own fleet and had collected a personnel to man and run that fleet would hesitate to abandon its fleet merely because temporarily it could get its transport work done for it more cheaply by Unatra under the decision of June 20th, 1931, than it could do it for itself. It might feel that in the long run it would be more advantageous to maintain its fleet and run it at a loss than to get its merchandise carried gratuitously for a short time by another concern.

If the companies which had organized their own fleets had been British nationals, it would be necessary for the Court to enquire as to how the Belgian measures affected each one of them, but being Belgian, the effect of the measures upon them is not a matter with which the Court need deal.

The difficulty which the position of these companies creates is that both sides have endeavoured to establish their contentions before the Court by the production of statistics as to the volume of merchandise which private transporters carried on the river after the measures of 1931 came into force. These statistics include the goods transported by companies which for a time at least kept their fleets going. Neither side accepts the statistics put forward by the other, and so great is the discrepancy between them that the Agent for the United Kingdom asked for the appointment of an "expertise" to investigate the questions to which these statistics related.

The Court has declined to appoint such an expertise.

In the view which I take of the case, such an appointment would have been useless, as the results of the enquiry could not affect the ultimate decision. What the United Kingdom has to show is that Chinn was injured by measures which were inconsistent with Belgium's international obligations: such proof would not be assisted by an enquiry as to the effect which the measures had on the transport business of Belgian companies which tried to keep their fleets going. It would only result in an enquiry as to how much of its financial reserves each company was able and willing to devote to keeping its fleet in being.

I return to the question whether the Belgian measures of 1931 were or were not inconsistent with the international obligations of that country. It is maintained by the Government of the United Kingdom that they were so; that they constituted a violation of the Convention of Saint-Germain of 1919, which regulated relations between the United Kingdom and Belgium in the Conventional Basin of the Congo, and that they ran counter also to Belgium's obligations under general international law.

The latter contention is a short one which can be disposed of rapidly.

It is maintained on behalf of the United Kingdom that, as Chinn went to the Congo relying on the position assured to him by treaty and set up a business there, and as the Belgian measures destroyed his business and rendered it impossible for him to carry on, his acquired rights were interfered with to an extent and in a manner which is inconsistent with the admitted principles of international law.

This contention is not in my opinion well founded.

Following the line of argument which Counsel for the United Kingdom have put forward, it may be correct to say that Chinn possessed under treaty a right to carry on in the Congo a ship-owning and ship-building business, but this right cannot be put higher than that of a right to make contracts for the transport of goods on the river, or for the repairing or building of ships, with any person in the Congo who desired to make a contract with him. Chinn possessed no right, either under the Treaty of Saint-Germain or under general international law, which entitled him to find customers in the Congo, i.e. people who were desirous of contracting with him. If the individuals with whom Chinn would have liked to make contracts found that they could get better terms elsewhere for the transport of their merchandise or the repairing of their ships, they had just as much right to contract with persons other than Chinn, as Chinn had

to make contracts with them. Consequently, the fact that these other individuals found it to their advantage not to contract with Chinn, involved no violation by them of a right belonging to him. Similarly, the decision of the Belgian Government which rendered it more profitable for these persons to make contracts elsewhere and not with Chinn interfered with no acquired right of his.

If it could be shown on behalf of Chinn that some right which he had already obtained to carry the goods of a particular merchant or to repair the ships of some particular merchant had been infringed by the Belgian Government, as, for instance, if he had had in existence a contract to carry all the goods of such and such a person and the Belgian Government had stepped in and prevented that person, no matter how much he wished to do so, handing over his goods to Chinn to transport, it would be right to say that an acquired right of Chinn had been interfered with, but the facts do not show any such position. Chinn's right to fulfil existing contracts for the transport of goods or the repair of ships, or to secure new contracts to that effect if he could, was never interfered with.

The more important argument advanced by the United Kingdom is that the Belgian measures ran counter to the Convention of Saint-Germain. This Treaty was concluded in 1919 as part of the peace settlement of that year. Its purpose appears to have been to replace the Berlin and Brussels Acts by something more suitable to the conditions of the moment, while maintaining the general principles which those instruments embodied. By Article 13 the earlier Acts are abrogated as between the Powers which are parties to the new Convention. Both the United Kingdom and Belgium are parties to the Convention and have in this case treated it as the operative instrument.

In these circumstances I do not propose to express any opinion as to a question which, it is true, was not raised by the Parties in this case, but which must strike any one who studies the published *procès-verbaux* of the Berlin Conference of 1885. That question is whether both Belgium and the United Kingdom had not already pledged themselves by the terms of the Berlin Act not to terminate or to modify, even as between themselves, the provisions of that instrument except in agreement with all the other States which were parties to it. Nor do I propose to express any opinion as to what would be the

effect of such a pledge, if it had been given, that is to say, whether a new treaty made in violation of such a pledge would be devoid of juridical effect, or whether it would merely be a wrongful act entitling a State which was not a party to the Convention of Saint-Germain, but was a party to the Berlin Act, to demand reparation.

The stipulations of the Convention of Saint-Germain which the Government of the United Kingdom alleges that the Belgian Government violated by what it did in connection with Unatra are those which obliged it to maintain in the Congo commercial freedom and commercial equality, and also the provisions of Article 5 relating to liberty of navigation and equality of treatment for craft.

If I appreciate correctly the Belgian arguments, that Government does not dispute its obligations to apply in the Congo the principles of liberty and equality of commerce and of liberty of navigation; its contention is that the measures taken in 1931 infringed none of these principles nor any of the stipulations of the Convention of Saint-Germain, because they fell within the "*domaine de la gestion de la flotte nationale*" and that this domain lies outside the scope of the Treaty provisions.

On this latter point I agree with what is said in the judgment of the Court. The Belgian arguments constitute an inadequate answer to the British contentions, if these contentions are made out. In my view the more difficult question is whether the June measure rendering transport by Unatra practically gratuitous can be said, even if it did establish a monopoly in fact for Unatra, to be inconsistent with "liberty of commerce" or "liberty of navigation" or with "complete commercial equality".

Liberty of commerce, freedom of commerce, liberty of trade and freedom of trade are phrases which are used in the English texts of the Berlin Act and the Convention of Saint-Germain almost indiscriminately. I can see no practical difference between them.

In the Convention of Saint-Germain there is no specific provision in favour of freedom of trade. In this respect it differs from the Berlin Act, Article 1 of which provides that in the Congo the trade of all nations shall enjoy complete freedom. All that the Convention of Saint-Germain provides for in Article 1 is "complete commercial equality", and yet there is a provision in this same Article which looks as if it must have been intended by the new Convention to keep alive the

principle of freedom of trade laid down in the first Article of the Berlin Act. This provision consists of the words at the end of the Article, "but subject to the reservation specified in the final paragraph of that Article". The final paragraph of Article 1 of the Berlin Act is that, "in extending the principle of free trade to the eastern zone, the Conference Powers only undertake engagement for themselves", etc. If the authors of the Convention of Saint-Germain deliberately kept alive that reservation in the Berlin Act as to freedom of trade instead of making a corresponding reservation as to the application of the principle of complete commercial equality to the eastern zone, it seems difficult to escape the conclusion that they intended to maintain, after the Convention of Saint-Germain came into force, this principle of liberty of trade. It is equally difficult to believe that they intended the principle to apply only in the eastern zone and not throughout the Conventional Basin. I conclude, therefore, that this principle operates in the Belgian part of the Congo, and that the Belgian Government is still under obligation to the Government of the United Kingdom to see that the trade of all nations enjoys complete freedom.

The next question is whether a Government measure which enables one transporter to carry goods on the Congo so cheaply that he will attract all the business, violates the liberty of commerce to which other transporters are entitled. What exactly is meant by maintaining liberty of commerce?

The conclusion to which I am led is that this stipulation was intended to prevent the imposition by a government of obstacles or prohibitions—whatever their nature—to which a trader must perforce submit, and that it is not contravened by measures which leave him free to carry on his trade if he can. The important word in this connection is the word "liberty" or "freedom".

The Belgian measure of June 20th, 1931, reducing Unatra's transport charges, left the other transporters free to carry on their business if they so wished and if they could. The question whether they could depended on the extent of their financial resources—not upon any matter for which the Government was responsible. The Government measure imposed no obstacle to the carrying on of the business; at most it made it unprofitable.

The argument advanced on behalf of the United Kingdom is that the Belgian measures of 1931 made it *commercially impossible* for Chinn to carry on his business; when analyzed this only means that these measures prevented him from earning any profit, because the cargoes available for transport out of the carriage of which the profits would have been earned all went to a competitor with whom he could not compete. They did not place Chinn in such a position that he was not *at liberty* to carry on his business if he so desired.

Inability to make a profit is a circumstance which may equally well arise from the superior activities of a commercial competitor. It certainly cannot have been the intention of the Berlin Act to eliminate trade competition in the Congo, but if the freedom of trade assured by the Berlin Act could be interpreted as entailing an obligation on the Government not to take a particular measure on the sole ground that it would prevent the earning of a profit by a particular business carried on in the Congo, it would have to be interpreted as obliging the territorial Government to exclude trade competition.

For these reasons the reduction of Unatra's tariff to one franc a ton, even if it did result in that Company getting all the business, did not infringe the liberty of commerce to which Chinn was entitled.

The Belgian measures are also alleged to infringe the principle of liberty of navigation.

In this case there is no doubt as to the particular treaty stipulation applicable: liberty of navigation is provided for in Article 5 of the Treaty of Saint-Germain.

The difficulty in accepting this argument arises from the fact that, as in the case of liberty of commerce, what a stipulation in favour of *liberty* of navigation seems to exclude is the imposition by the Government of some direct obstacle in the way of the use of the ship or of the business on which the ship was employed, something to which the ship-owner must submit, whether he likes it or not, something which interferes with his *liberty*. Nothing of the kind is to be found in the Belgian measures. Chinn was as much at liberty to send his ships up and down the Congo after July, 1931, as he was before.

A separate argument can be founded on the second paragraph of Article 5, which says that craft belonging to nationals of the signatory Powers shall be treated in all respects on a footing

of perfect equality; but here again it is difficult to see how the Belgian measures infringed this provision. Even after July 1st, when the reduced tariffs on Unatra came into operation, there was nothing in the evidence submitted by the United Kingdom to show that any difference was made between the treatment meted out to the ships of the Unatra fleet and those of private transporters.

The Memorial also maintains that the Belgian measures infringed the "complete commercial equality" between the respective nationals of the signatory Powers enjoined by Article 1 of the Treaty of Saint-Germain.

This argument is used in paragraphs 40 and 44 to attack the Belgian measures so far as they resulted in the *de facto* monopoly for Unatra and in paragraph 45 as an alternative argument based on the discrimination involved in "granting a subsidy to Unatra alone", i.e. in the refusal to undertake to repay to Chinn as a private transporter the losses which were to be repaid to Unatra if goods were carried at one franc a ton. With this second contention I deal later on.

As regard the first contention, that advanced in paragraphs 40 and 44, the argument differs but little from that based on the right to liberty of commerce. So long as the Government measures left all transporters (including both Chinn and Unatra) free to carry on their business, the reduction of tariffs imposed upon Unatra did not infringe the commercial equality prescribed by the Treaty of Saint-Germain.

The general conclusion is therefore that the reduction of Unatra's transport rate by the Belgian decision of June 20th, 1931, was not inconsistent with the liberty of commerce, the liberty of navigation or the commercial equality which Belgium was obliged to maintain in the Congo, even though the effect of the reduction was bound to be that exporters would give their cargoes to Unatra and not to a private transporter like Chinn.

That disposes of the argument founded on the so-called *de facto* monopoly.

There remains the alternative contention that the Belgian measures amounted to discrimination in favour of Unatra and against Chinn, i.e. that by refusing to extend to the private transporters, including Chinn, the arrangement for the repay-

ment of losses promised to Unatra in the June 20th decision, the Belgian Government failed to maintain that complete commercial equality between the nationals of the signatory Powers which they were bound by Article 1 of the Convention of Saint-Germain to do.

The June 20th, 1931, decision of the Belgian Colonial Minister said nothing about the question of extending a similar arrangement to other transporters. It was not until July 28th that the Government's refusal to do so was published. The discrimination, therefore, if any, did not result from the decision of June 20th, but from the action taken on July 28th. The latter measure, however, is equally included in the reference to the Court.

The question is whether the Government's refusal to extend the arrangements for the repayment of losses to Chinn as a private transporter was a violation of Article 1 of the Convention.

It has not been disputed by the Belgian Counsel that one franc a ton was not an economic transport rate. It is obvious that a rate which entailed on Unatra in 1932 losses of over 12,000,000 francs was not a charge high enough to enable a private transporter to make his business pay, even allowing for the up and downstream business not touched by the decision.

It is equally obvious that a private transporter who, like Chinn, was not an exporter on his own account, would get no cargoes to transport unless he carried them at the same rate as Unatra. Indeed it is admitted by the Belgian Government that these sweeping reductions were only made in order to save the industry of the colony, that is to say that it must have been assumed either that exporters generally would patronize Unatra and so get the benefit of Unatra's reduction, or that the private transporters would make corresponding reductions—otherwise the industry of the colony would not be saved.

For the Government to oblige one transport concern by a direct order to reduce its transport charges and to agree to reimburse the resulting losses, and to oblige another transport concern indirectly to make similar reductions in order to save its business and to refuse to reimburse the resulting losses, cannot be said to amount to maintaining between the two a complete commercial equality.

That alone, however, is not sufficient to constitute a violation of the Convention of Saint-Germain. What Article 1 obliges the signatory Powers to maintain is complete commercial equality "between their respective nationals and those of States Members of the League....".

Chinn's nationality was British, and Unatra's was Belgian. Is this discrimination between an individual British subject and the group of Belgian companies to whom the decision of June 20th was addressed, sufficient to fulfil the requirements of Article 1? Or must the discrimination be shown to be based on nationality?

The judgment adopts the latter interpretation. I am not able to share this view. In my opinion it is not necessary to show that the discrimination was based on nationality, in the sense that the differentiation was made because the persons possessed a particular nationality.

Such a requirement would materially reduce the scope of the application of Article 1.

The wording of the Article supports the larger interpretation. The equality is to be maintained "between their respective nationals and those of States...." (*entre leurs ressortissants respectifs et ceux des États....*). If any conclusion can be drawn from the use of the phrase "respective nationals" instead of saying "undertake to maintain between their nationals respectively and those of States....", it is that the parties to the Treaty intended to ensure the position of their nationals individually.

The wording of other articles in the Treaty prohibiting differentiation supports the view that what Article 1 is aimed at is the protection of individual equality.

Article 3 provides that nationals of the territorial Power and of other Powers shall enjoy *without distinction* equal treatment and the same rights as regards protection of persons and effects and as regards property and professions. Clearly this is an Article which guarantees individual equality: so does Article 2 which excludes differentiation as regards merchandise and vessels. When Article 2, paragraph 2, and Article 5, paragraph 2, are read together, one sees that the equality of treatment guaranteed to craft by Article 5 must be individual equality. This is a conclusion of some interest, because the wording of this paragraph of Article 5 is much the same as that of Article 1.

An additional argument is to be found in the fact that the liberty of commerce stipulated in the Berlin Act must have ensured *individual* liberty. Complete commercial equality under the Berlin Act followed from the liberty of commerce so promised, and therefore must have been individual liberty. The words

in the fourth paragraph of the Preamble of the Treaty of Saint-Germain as to the application of the principles of the Berlin Act render it unlikely that the Powers intended by Article 1 to admit a sweeping change in the basis of the commercial equality which their nationals had enjoyed under the Berlin Act.

Another reason is to be found in the fact that, as between Belgium and some of the European Powers, it is the Berlin Act which still governs matters in the Congo. The nationals of these Powers enjoy complete commercial equality in the Congo thereunder. It seems improbable that the Powers who became parties to the later Treaty can have intended that their nationals should enjoy a régime of commercial liberty and equality less favourable than that enjoyed by those who remained bound by the Berlin Act.

A still further reason is to be found in the fact that, if Article 1 excludes only commercial differentiation based on nationality, it must be taken to admit commercial differentiation based on race, colour, or religion.

These reasons justify the view that what Article 1 of the Convention of Saint-Germain ensures is an individual commercial equality.

As above said, the refusal to extend the repayment of losses to private transporters was inconsistent with such individual commercial equality. Therefore, so far as the Belgian measure embodied in the decision of July 28th, 1931, applied to Chinn, it was inconsistent with the international obligations of Belgium to the United Kingdom.

To this extent the answer to the first question put to the Court should in my view be in the affirmative.

In the above statement of my views, no reference has been made to Chinn's ship-building yard.

The shipyard part of the case of the United Kingdom fails in my opinion for the reason that the damage is too remote. Assuming that the Belgian Government acted in contravention of Article 1 of the Convention of Saint-Germain in that they failed to accord equal treatment to Chinn in the matter of repaying the losses entailed upon him by his being obliged to transport cargoes at one franc a ton in order to save his business, that Government would not be liable to make reparation for such breach of treaty beyond the loss which could reasonably be

foreseen as the direct or necessary consequence of the violation of the Convention. The injury to Chinn's ship-building business falls outside the scope of this principle.

(Signed) C. J. B. HURST.